

Fearnleys Dry Bulk Weekly

Aug 28, 2024

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Capesize/Newcastlemax

The below chart displays the preceding 1 month's % change in China's daily imported iron ore consumption. This curve is shifted 1.5 months forward, to display that it often leads the 1 month's % change of the BCI5TC accurately.

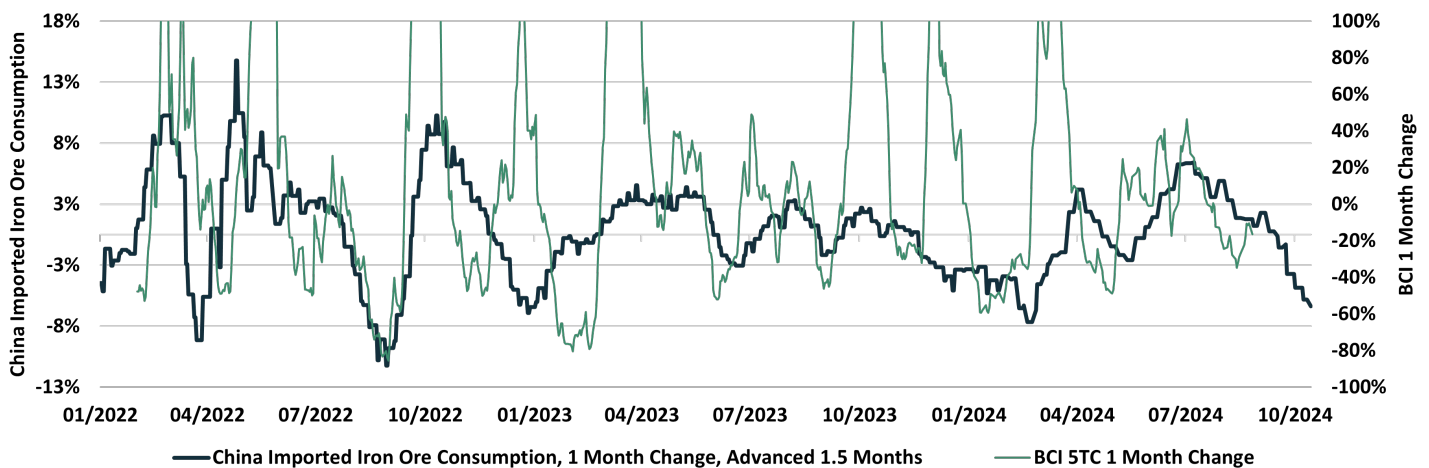
Since the start of July, the leading indicator has been quite accurate, as it suggested the Capesize market would peak in early July, followed by a continued downtrend. The market has stabilized and even risen slightly during August, but levels have remained lower month-on-month until the last couple of days, as the month-on-month change has turned slightly positive.

Going forward, the leading indicator suggests the downtrend will continue, with the correlation saying the BCI5TC could be about 40% lower than current levels by the end of September.

Otherwise, we do not see much strength in AIS data. Vessels heading to China and India remain relatively low, and VLOC congestion in Brazil is extremely low - usually a bearish factor.

Thus, we are a bit surprised that the market is holding up as well as it is.

China Imported Iron Ore Consumption, 1 Month Change, Moved Forward 1.5 Months vs BCI5TC 1 Month Change



Panamax/Kamsarmax

Last week, we wrote the following:

The US grain season has not yet started, though it should be imminent. Canadian grain exports have started to increase, however. This year, the IGC expects higher exports than last year from Canada and the US. That and a seasonal upturn in India's coal demand, could mean the market will rally next month.

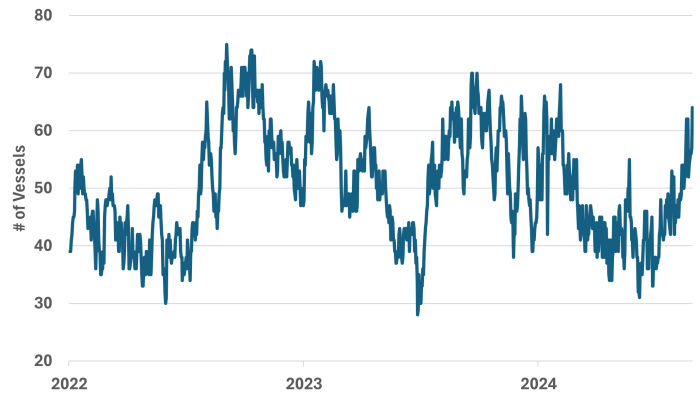
The US grains season has not yet started, and in the Pacific things are quiet. As we have pointed to the last weeks in this report, these factors might turn in September.

Otherwise, the Kamsarmax index has dropped significantly below the BSI58 index, which since the index inception in 2018 has been followed by a rebound every time.

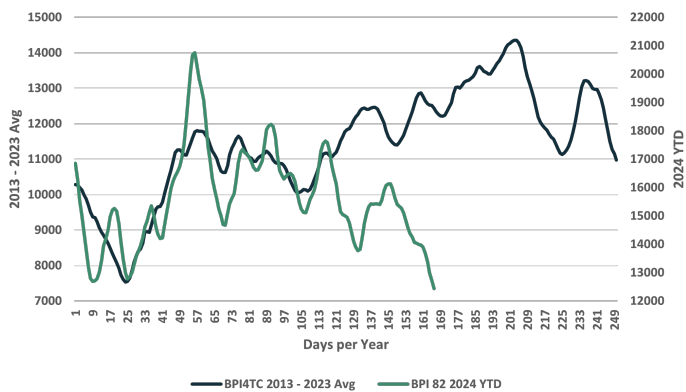
Panamax / Kamsarmax Heading to the US



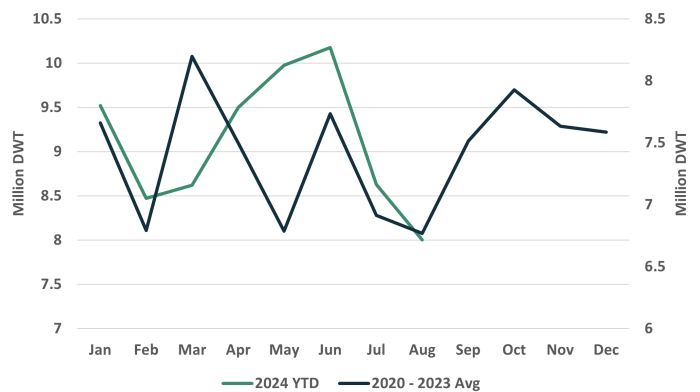
Panamax / Kamsarmax Heading to Canada



Panamax/Kamsarmax Seasonal Average Market Movement



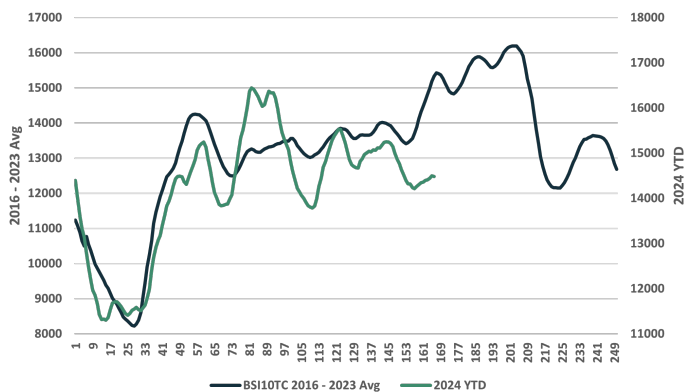
Panamax / Kamsarmax India Coal Discharges Seasonality



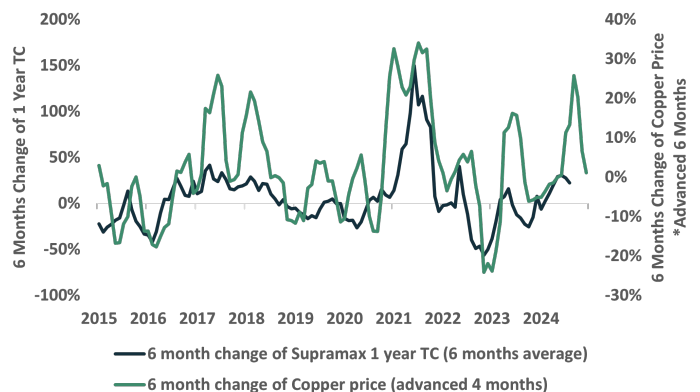
Supramax/Ultramax

Like in the Panamax/Kamsarmax segment, in the last weeks, we have pointed to a possible September rally driven by increased coal demand in Asia and grain shipments from the US. So, next week could be interesting. Otherwise, the market continues to closely follow average seasonality, although the last week's uptick is so far more muted than usual. The market is also starting to "underperform" basis the copper price lead displayed below.

Supramax Seasonal Market Movement

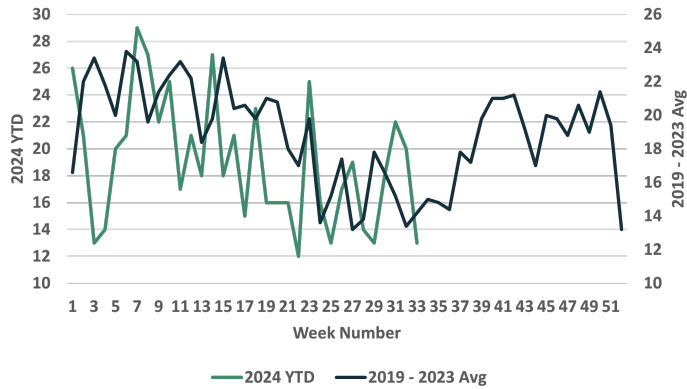


Copper Price Lead vs Supramax 1 Year TC

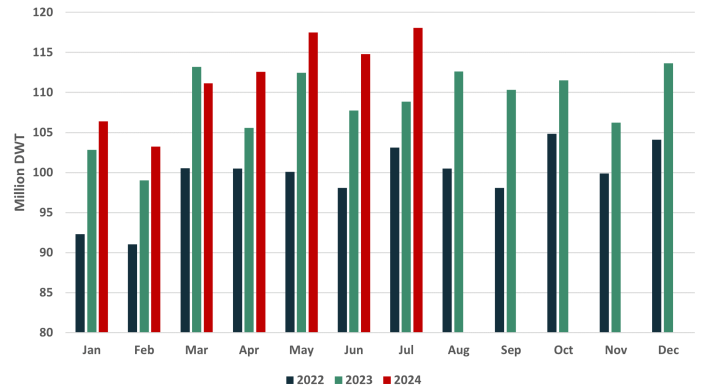




Supramax / Ultramax Weekly Grain Shipments - Canada & US



Supramax / Ultramax Monthly Total Loadings - 2022, 2023 and 2024





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